

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-01

**CCMA, LLC
COMPLAINANT,**

v.

**SAFMARINE INC. and PORTS AMERICA CHESAPEAKE, LLC
RESPONDENTS.**

COMPLAINT

Complainant CCMA, LLC (“Complainant” or “CCMA”), by its undersigned attorneys, files this Complaint against Respondents herein, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant CCMA is a corporation organized and existing under the laws of the State of Delaware, with a principal place of business at 450 Corporate Parkway Suite 100 Amherst, NY 14226.

II. RESPONDENTS

2. Safmarine, Inc. (“Safmarine”) is a corporation organized and existing under the laws of the State of Delaware, with a principal place of business at 9300 Arrowpoint Blvd. Charlotte, NC 28273. Safmarine is and was at all times pertinent to this Complaint a common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

3. Ports America Chesapeake, LLC (“PAC”) is a corporation organized and existing under the laws of the State of Delaware with a principal place of business at 1209 Orange Street



Wilmington, DE 19801. PAC is and was at all times pertinent to this Complaint a marine terminal operator (“MTO”) within the meaning of the Shipping Act, 46 U.S.C. § 40102(15), subject to regulation by the FMC.

III. JURISDICTION

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984, as amended.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. CCMA is seeking reparations for injuries caused to it by Respondents due to their violations of 46 U.S.C. § 41102(c).

6. The FMC has personal jurisdiction over Safmarine as a “common carrier” as defined in 46 U.S.C. § 40102(7).

7. The FMC has personal jurisdiction over PAC as a “MTO” as defined in 46 U.S.C. § 40102(15).

8. Respondents’ actions alleged herein constitute failures by each Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of CCMA, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5.

IV. FACTUAL ALLEGATIONS

9. In or about September 2019, CCMA purchased 16 containers of high carbon ferro chrome (the “Shipment”) from Indian Metals and Ferro Alloys Ltd. (“IMFA”).

10. Under the terms of the purchase agreement, IMFA was responsible for arranging delivery of the goods from India to the United States. IMFA delivered the goods in 400 bulk bags

to a container freight station (“CFS”) at the port of Visakhapatnam, India. The CFS then loaded the goods into 16 containers.

11. IMFA engaged Safmarine to transport the Shipment from India to the United States. The 16 containers moved under Safmarine bill of lading number SAFM586960330 (the “Shipment”). CCMA was listed as the consignee on the bill of lading.

12. Safmarine designated the Seagirt Marine Terminal, which is operated by PAC, to process the Shipment at the Port of Baltimore.

A. Customs Hold and Examination

13. On December 13, 2019, the Shipment was flagged by U.S. Customs and Border Protection (“CBP”) for a Customs review and agricultural inspection.

14. On December 18, 2019, the Shipment arrived at the Port of Baltimore.

15. On December 20, 2019, the Shipment was placed on a Customs hold pending further examination. From December 19-23, the containers were inspected by the CBP. The last free day for the purposes of demurrage was December 27, 2019.

16. On December 27, 2019, PAC informed CCMA that the CBP had found pests and seeds on two of the containers, which were sent out for identification. CCMA requested an extension of the free time from PAC, but its request was denied.

17. On January 2, 2020, CCMA again requested an extension of the free time from Safmarine and PAC as Customs had not yet released the containers, but its requests were denied.

18. On January 14, 2020, the CBP issued an Emergency Action Notification (“EAN”) for two of the containers, which were found to have seeds from an invasive weed on the outside of the containers. The EAN required the cargo to be transloaded for delivery, and the two containers to be cleaned and subject to re-exportation out of the United States.

19. On January 15, 2020, CCMA sent a copy of the EAN to PAC and requested information regarding the next steps to transload the cargo and clean the two containers. PAC provided no response.

20. From January 16-21, the EAN was revised several times, which delayed re-exporting the two containers and obtaining the release of the remaining 14 containers.

21. On January 17, 2020, CCMA contacted PAC on the next steps to re-export the two containers. At that time, PAC advised CCMA that it would need to obtain release numbers from Safmarine. CCMA then contacted Safmarine asking for release numbers and was told it would need to (1) provide the EAN and (2) create an export booking on Safmarine's website.

22. On January 21, 2020, the CBP released the customs hold on 14 of the containers and authorized the two containers to be transloaded and re-exported. CCMA contacted Safmarine regarding the re-export of the two containers and received no response.

23. On January 22, 2020, CCMA requested an extension of the free time from Safmarine, or in the alternative, a reduction in demurrage and detention charges, but its request was denied. Safmarine advised that it does not extend free time due to Customs holds.

24. On January 23, 2020, 13 of the containers were picked up from the Port, and the last container was picked up on January 24, 2020.

25. PAC assessed demurrage charges on the 16 containers in the amount of \$134,655. CCMA was required to pay the assessed demurrage charges in order pick up the Shipment.

B. Demurrage

26. Both Safmarine and PAC refused to extend the last free day for the Shipment and/or waive or reduce the accrued demurrage. In communications with Safmarine and PAC, both stated

that it is their respective policies and practices not to waive or reduce demurrage assessed under these circumstances and refused to waive or reduce the demurrage charges and/or extend free time.

27. Due to the significant delays, which were outside of CCMA's control, CCMA was assessed demurrage charges in the total amount of \$134, 655 in connection with the Shipment.

28. The demurrage charges at issue were assessed at both the base and penalty levels while the containers at issue were unavailable due to government holds.

29. On January 2, 2020, CCMA attempted to discuss the demurrage charges with Safmarine, and PAC. Safmarine claimed that because PAC was collecting the charges any waiver or reduction in demurrage charges would be the responsibility of PAC. Further, on January 3, 2020, PAC claimed that it could not extend free time without Safmarine's approval. CCMA has made numerous attempts to obtain an extension of the free time or resolve the contested demurrage charges with Safmarine and PAC without success.

V. VIOLATIONS OF THE SHIPPING ACT

30. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

31. Respondent Safmarine is an ocean common carrier as defined by the Shipping Act.

32. Respondent PAC is a marine terminal operator as defined by the Shipping Act.

33. Respondents' practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

34. Respondents have failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against shipments, including the Shipment, that are subject to a governmental hold for examination by Customs, and therefore, unavailable for pick-up.

35. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges that serve no incentivizing principle and do not promote freight fluidity.

36. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce demurrage charges for the Shipment, which was unavailable for pickup.

VI. CAUSATION AND INJURY TO COMPLAINANT

37. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of \$134, 655.

VII. ALTERNATIVE DISPUTE RESOLUTION

38. CCMA made numerous unsuccessful attempts to resolve this matter with Safmarine and PAC prior to filing this Verified Complaint. On February 26, 2020, in an effort to resolve this matter, CCMA submitted its complaint to the FMC's Office of Consumer Affairs & Dispute Resolution Services ("CADRS") but was unable to obtain a resolution of the matter.

VIII. PLACE OF HEARING

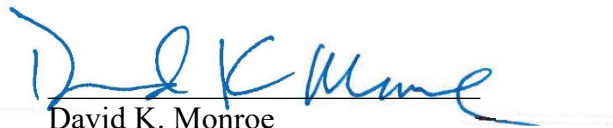
39. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondents be required to answer the charges in this Complaint, and that after the Commission's investigation and hearing, the Commission issue an order:

- 1) Requiring Respondents to pay Complainant reparations for the unlawful conduct described herein, along with interest and Complainant's attorneys' fees and costs pursuant to 46 U.S.C. 41305;
- 2) Requiring the payment of any other amounts that the Commission deems appropriate; and
- 3) Providing such other and further relief that the Commission deems just and proper.

Respectfully submitted,

A handwritten signature in blue ink, appearing to read "D K Monroe", is written over a horizontal line.

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Attorneys for CCMA, LLC

Dated: December 27, 2021

VERIFICATION

I, Brian Dempsey, am the Chief Financial Officer and Chief Risk Officer of Complainant CCMA, LLC and hereby declare and attest under penalty of perjury that I have read the forgoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: December 23, 2021

